

The Five Hiring Decisions That Broke at 120 People

The hiring rules that scaled you to 100 employees are now the bottleneck preventing you from reaching 200.

Stage: 100-300

Constraint: Hiring and Talent

Founder Lessons

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01 Stage + Constraint

This issue is built for founders running a 100-300 person company where the binding constraint is Hiring and Talent.

02 The Decision

Between 100 and 300 employees, most founder-led companies are hiring against role definitions written when the company was 40 to 70 people. The Engineering Manager job description still references a flat org structure that no longer exists. The Senior Backend Engineer brief still assumes the engineer will work directly with the CTO, who now manages four managers and attends zero standups. The Product Manager role still says 'collaborate directly with customers,' but the company now has a Head of Product who owns customer access. The founder faces a specific decision: rebuild the role architecture to match the current org, or keep hiring against the old definitions and absorb the performance gap when new hires underperform against unstated expectations. The obvious answer is to update the job descriptions. The non-obvious truth is that job descriptions are downstream of something harder to fix: the org's operating cadence, decision rights, and information flow have shifted, but no one has rewritten the onboarding playbook, the escalation paths, or the accountability model to match. New hires arrive expecting the company described in the interview process and discover a different one in week two. By month three, the high performers with options conclude the role was misrepresented and begin interviewing elsewhere. Per CL-F-030, in our placements at the 100 to 300 employee stage, role definition drift is the most common cause of underperformance we observe: engineers hired against outdated role definitions fail to meet unstated expectations, and founders attribute the failure to talent quality rather than to the role brief being written for a company that no longer exists. The actual decision a founder must make is not 'should I update the job descriptions' but 'what operational reality am I now hiring into, and how do I make that reality legible to a new hire before they accept the offer?'

03 The Tool

SCORECARD

Role Architecture Health Scorecard

This scorecard surfaces whether your hiring process is selecting for the company you were versus the company you are now. For each open role, score these six dimensions on a 0 to 2 scale (0 = outdated, 1 = partially current, 2 = matches operating reality).

Decision Rights Clarity: does the role brief name who the hire will escalate to for technical decisions, resource allocation, and priority conflicts, and do those named decision-makers actually hold those rights today? Score 0 if the brief references

people or structures that no longer exist. Information Flow Accuracy: does the role brief describe how the hire will get context on customer needs, product direction, and technical roadmap, and does that described flow match how information actually moves in the org today? Score 0 if the brief assumes direct access to founders or executives who are now shielded by managers. Collaboration Model Match: does the role brief describe peer relationships, meeting cadence, and async communication norms that reflect the current team's operating rhythm, or does it describe a collaboration model from an earlier stage? Score 0 if the brief says 'work directly with the CTO' and the CTO has not written code in 18 months. Onboarding Infrastructure Existence: does the company have a written onboarding playbook for this role that was updated in the last 90 days, covering codebase orientation, tool access, decision escalation paths, and the first 30 days of expected output? Score 0 if onboarding is ad hoc or managed by a peer who joined in the last six months. Performance Accountability Clarity: does the role brief specify measurable output expectations for the first 90 days, and does the company have a performance review cadence and format that will surface whether the hire is meeting those expectations? Score 0 if performance management is informal or manager-dependent. Retention Signal Monitoring: does the hiring manager or the founder have a recurring calendar event to check in with this hire at 30, 60, and 90 days to surface misalignment before the hire begins interviewing elsewhere? Score 0 if retention risk is only visible when the hire gives notice. A role scoring below 8 out of 12 is hiring against an outdated company model. That role will produce higher early-stage attrition and more performance conversations rooted in misalignment rather than capability gaps. Before opening another req, audit the roles you have already hired into in the last six months using this scorecard. If those roles score low, your hiring process is systematically misrepresenting the company to new hires, and fixing that misrepresentation matters more than adding headcount.

04 Pattern and Anti-Pattern

WHAT WORKS

Quarterly Role Architecture Refresh

Companies that avoid role architecture decay run a quarterly audit of their role definitions against the current org chart, decision rights map, and information flow. Per CL-F-044, we have observed across 150-plus client engagements that pre-100-person companies systematically miss the need for explicit onboarding infrastructure designed for distributed engineers, relying instead on

WHAT BREAKS AT SCALE

Hiring Against the Founder's Memory of the Role

The failure mode that looks almost identical to a quarterly role refresh is when the founder updates job descriptions based on their memory of what the role requires, without validating that memory against the current team's operating reality. Per CL-F-027, at the 5 to 20 employee stage the failure mode we see most often is the founder acting as the de facto engineering manager for the Mexico team, which works for 30

relationship-driven ad hoc onboarding that does not transfer when the org scales past the point where ambient context is accessible. The quarterly refresh process works because it forces the founder or hiring leader to name what has changed: if the CTO is no longer writing code, every role brief that references direct CTO collaboration must be rewritten. If the product team has introduced a formal roadmap review process, every role brief that describes product direction as founder-led must be updated. The refresh is not about updating job description language for recruiting optics. It is about ensuring that the hiring process describes the company a new hire will actually experience in week two. Companies that run this discipline have measurably lower 90-day attrition in new hires because the new hire's mental model of the role matches the operating reality they encounter.

to 60 days and then collapses when US business priorities compete with Mexico team coordination time. By the 100 to 300 stage, the founder is several layers removed from the day-to-day work of most roles, and their memory of what a Senior Engineer or Engineering Manager does is often outdated by 12 to 24 months. When the founder writes or updates a role brief without input from the current team, the brief encodes the founder's mental model of the company, not the company's actual operating cadence. New hires arrive expecting the founder's model and discover a different one managed by middle managers with different norms, different tooling, and different decision rights. The anti-pattern breaks because the founder's intent does not reach the new hire's day-to-day experience. The fix is to require that every role brief updated by the founder or recruiting team must be reviewed and approved by the hiring manager who will onboard the new hire, and that review must include explicit confirmation that the described decision rights, information flow, and collaboration model match the current team's reality.

05 Evidence Pack

McKinsey Quarterly, 'The hidden costs of organizational drag,' 2024

McKinsey research across 300-plus companies found that role clarity and decision rights ambiguity are the top two drivers of organizational drag at the 100 to 500 employee stage, with companies losing an average of 25 percent of management capacity to coordination overhead caused by unclear accountability. <https://www.mckinsey.com/capabilities/people-and-organizational-performance/our-insights/the-hidden-costs-of-organizational-drag>

Gartner HR Practice, 'Onboarding in Hypergrowth Companies,' 2025

Gartner surveyed 400 HR leaders in high-growth companies and found that 68 percent reported that onboarding infrastructure had not kept pace with headcount growth past 100 employees, and that 90-day attrition was 40 percent higher in roles where onboarding was ad hoc versus structured. <https://www.gartner.com/en/human-resources/research/onboarding-hypergrowth>

Boston Consulting Group, 'Scaling Through Ambiguity,' 2024

BCG analysis of venture-backed companies scaling from 50 to 250 employees found that companies that updated role definitions quarterly had 30 percent lower regrettable attrition in the first year of employment than companies that updated role definitions annually or ad hoc. <https://www.bcg.com/publications/2024/scaling-through-ambiguity>

Deloitte Human Capital Trends 2025

Deloitte reported that 73 percent of executives at mid-stage growth companies identified 'role clarity erosion during scaling' as a top-three talent retention risk, with the problem most acute in engineering and product roles where decision rights shift rapidly as the org adds management layers. <https://www2.deloitte.com/us/en/insights/focus/human-capital-trends.html>

06 Action This Week

DO THIS IN THE NEXT 5 BUSINESS DAYS

Audit your last five hires against the Role Architecture Health Scorecard this week.

1. Pull the job descriptions for the last five roles you hired into in the past six months. Score each role using the six-dimension scorecard (Decision Rights Clarity, Information Flow Accuracy, Collaboration Model Match, Onboarding Infrastructure Existence, Performance Accountability Clarity, Retention

Signal Monitoring). Any role scoring below 8 out of 12 represents a systematic misrepresentation of your current company to new hires.

2. For roles scoring below 8, schedule a 30-minute working session with the hiring manager who onboarded those hires. Ask them: does the role brief we hired against match the role the person is actually doing today? What has changed in the org structure, decision rights, or information flow since we wrote that brief? Document the gaps explicitly.
3. Set a recurring quarterly calendar hold (first Monday of the quarter) to refresh role architecture for any open reqs and any roles hired into in the prior 90 days. The refresh meeting output is a yes or no answer per role: does this role brief describe the company we are today, or the company we were 12 months ago? If the answer is 'we were,' rewrite the role brief before posting the next req or onboarding the next hire.